

THE FLORIDA SERIES LLC OWNER'S MANUAL

***A Plain-English Guide to Understanding, Operating, and
Protecting Your Florida Protected Series LLC***

MyFloridaSeriesLLC.com

A service of FLORIDA PROTECTED SERIES, LLC - PS 1

First Edition — August 2026

***Written for Florida's Uniform Protected Series Provisions
ss. 605.2101–605.2802, Florida Statutes (effective July 1, 2026)***

CONTENTS

HOW TO USE THIS MANUAL

PART ONE — HOW THE PROTECTION WORKS

- 1. WHAT IS A FLORIDA PROTECTED SERIES LLC?**
- 2. THE TWO LIABILITY SHIELDS**
- 3. 'ASSOCIATED ASSETS' — THE RULE THAT DECIDES EVERYTHING**
- 4. WHY USE A SERIES LLC — AND WHEN NOT TO**
- 5. THE VOCABULARY — THIRTEEN TERMS THAT DO REAL WORK**

PART TWO — FORMATION AND STRUCTURE

- 6. HOW A FLORIDA PROTECTED SERIES LLC IS FORMED**
- 7. YOUR OPERATING AGREEMENT — A GUIDED TOUR**
- 8. THE MOTHERSHIP STRATEGY — KEEP THE PARENT POOR**

PART THREE — OPERATING THE STRUCTURE

- 9. TITLING ASSETS CORRECTLY**
- 10. PUTTING ASSETS IN — AND WHY THEY STAY THERE**
- 11. REAL ESTATE — THE EXPENSIVE-MISTAKES CHAPTER**
- 12. BANK ACCOUNTS**
- 13. CONTRACTS, LEASES, AND SIGNATURE BLOCKS**
- 14. THE RECORDKEEPING SYSTEM — YOUR ARTICLE 8 FIELD GUIDE**
- 15. INSURANCE — THE FIRST LINE, NOT THE BACKUP**

PART FOUR — TAXES

- 16. THE BASICS — THERE IS NO SUCH THING AS 'LLC TAXATION'**
- 17. HOW A SERIES IS TAXED — AND WHY WHO OWNS IT DECIDES EVERYTHING**
- 18. WHY YOUR SERIES ARE OWNED BY THE COMPANY**

PART FIVE — COMPLIANCE AND CREDITOR PROTECTION

- 19. STATE FILINGS, YEAR AFTER YEAR**
- 20. FEDERAL BENEFICIAL OWNERSHIP REPORTING — CURRENTLY: EXEMPT**
- 21. HOW OWNERS DESTROY THE SHIELDS (VEIL PIERCING AND WORSE)**
- 22. WHO OWES WHAT DUTIES — MANAGERS, MEMBERS, AND LIABILITY INSIDE THE STRUCTURE**
- 23. WHEN A MEMBER GETS SUED PERSONALLY — CHARGING ORDERS, BANKRUPTCY, AND DEATH**
- 24. WHEN A SERIES GETS SUED — SERVICE OF PROCESS AND LEGAL MAIL**
- 25. CROSSING STATE LINES**
- 26. ENDING THINGS — DISSOLVING A SERIES OR THE COMPANY**

PART SIX — PRACTICE TOOLS

27. SIXTEEN TRAPS FOR THE UNWARY

28. THREE WORKED EXAMPLES

29. THE CHECKLISTS

30. SAMPLE LANGUAGE (COPY CAREFULLY — NAMES EXACTLY AS FILED)

31. GLOSSARY

32. FREQUENTLY ASKED QUESTIONS

IMPORTANT DISCLAIMER

This manual is provided for general educational and informational purposes only. It is not legal, tax, accounting, financial, investment, title, or insurance advice, and it is not advice about your particular situation. MyFloridaSeriesLLC is not a law firm, and no attorney-client, accountant-client, fiduciary, or advisory relationship is created by this manual or your use of it. Laws change, tax rules are complex, and the correct treatment of any transaction depends on its facts. Consult your own attorney, CPA, title company, lender, and insurance professional before forming, funding, operating, or relying on a series LLC. Statutory references in this manual were verified against the official Florida Statutes as of the edition date on the cover.

HOW TO USE THIS MANUAL

This manual is one of four tools that work together. Keep all four:

1. **Your Operating Agreement** (with its Series Exhibits) — the binding legal document that governs your company and every protected series. When this manual says "your operating agreement requires..." it is describing the MyFloridaSeriesLLC form agreements; if your agreement was modified, your document controls.
2. **The Operating Agreement Instructions** — how to complete the agreement, choose its optional provisions, and fill in Series Exhibits.
3. **This Owner's Manual** — how to *operate* the structure day to day so the liability protection you paid for actually holds.
4. **The MyFloridaSeriesLLC recordkeeping app** — free software built around the exact records Florida law requires. Where a section of this manual ends with a task, the app has a place to record it.

If you read nothing else, read **Part One** (how the protection works and how it fails) and **Section 14** (the recordkeeping system). Everything else exists to support those pages.

A note on names: the examples in this manual use a fictional company called **Sunshine Holdings, LLC** with protected series named **Sunshine Holdings, LLC - PS 1**, **- PS 2**, and so on. That dash format is how the Florida Division of Corporations (Sunbiz) renders every protected series name, and it is the exact name you must use on deeds, accounts, and contracts.

PART ONE — HOW THE PROTECTION WORKS

1. WHAT IS A FLORIDA PROTECTED SERIES LLC?

A Florida protected series limited liability company ("PSLLC" or "series LLC") is a limited liability company that can create one or more internal compartments called **protected series**. Practitioners call the LLC itself the "mothership" — every protected series is created by it, tied to it, and dissolves with it.

Think of a holding company that owns several subsidiaries — except here there is only **one legal entity**. Each protected series is not a separate entity; instead, Florida law treats each one as a separate '**person**' that can, in its own name:

- own, lease, mortgage, and sell property (including real estate);
- open and maintain bank accounts;
- enter into and enforce contracts;
- grant liens and security interests;
- have its own associated members and its own manager (our forms use neither — every series is owned by the company and managed by the people your agreement names in Article 5, never by the company itself; Section 18 explains why);
- sue and be sued; and
- run a business entirely different from every other series.

The example that explains everything. Maria owns three rental houses. In an ordinary LLC, all three houses sit in one pool: a slip-and-fall at house #1 puts houses #2 and #3 on the table for the injured tenant's lawyer. With a Florida protected series LLC:

Sunshine Holdings, LLC (the mothership — holds no real estate)

→ **Sunshine Holdings, LLC - PS 1** — owns 101 Palm Street

→ **Sunshine Holdings, LLC - PS 2** — owns 205 Ocean Avenue

→ **Sunshine Holdings, LLC - PS 3** — owns 310 Bay Court

If the structure is *operated correctly*, a judgment arising from 101 Palm Street can reach only PS 1's assets. The other two houses — and Maria personally — are outside the creditor's reach. One entity, one state filing per series (\$25), one annual report, one registered agent — instead of three separate LLCs with three of everything.

The rest of this manual is about the italicized phrase: *operated correctly*.

2. THE TWO LIABILITY SHIELDS

A Florida PSLLC has two distinct shields. Understanding both tells you what you are protecting and what can break.

The vertical shield is the one every LLC has: the company's debts belong to the company, not to you. Under s. 605.2401, Florida Statutes, no member or manager is personally liable for a debt of the company *or of any protected series* merely for being a member or manager. This is why an LLC exists at all.

The horizontal shield is what you are paying extra for. Section 605.2401 makes each debt the debt of exactly one silo, and gives every silo two protections:

- **Non-liability:** a protected series is not liable for the debts of the company or of any other protected series — and the company is not liable for the debts of any protected series.
- **Non-recourse:** a creditor of one silo can enforce its judgment **only against the associated assets of that silo**. PS 1's creditor cannot levy on PS 2's house, the mothership's bank account, or your personal savings.

Your operating agreement restates both shields, in both directions, in Section 3.3 — so the rule your creditor's lawyer finds in the statute is the same rule written into your governing document.

What the shields do NOT do. They do not protect you from your own wrongdoing (you are always liable for your own torts — if *you* negligently repair the stairs, you are personally on the hook regardless of structure). They do not defeat a personal guarantee you sign for a lender. They do not replace insurance. They do not stop a court from disregarding the whole structure if you treat it as a fiction. And they are only as strong as the records described next.

3. 'ASSOCIATED ASSETS' — THE RULE THAT DECIDES EVERYTHING

The horizontal shield does not protect "PS 1's stuff" in the abstract. It protects PS 1's **associated assets** — and an asset is associated with a series **only if the records say so, in the way the statute demands**.

Section 605.2301, Florida Statutes, sets the test. An asset is an associated asset of a protected series only if the company creates and maintains records that state the series' name and describe the asset with enough specificity that a **'disinterested, reasonable individual'** — a stranger, not you — could:

1. **identify the asset** and tell it apart from every asset of the company and of every other series;
2. **determine when and from whom** the series acquired it (or how it otherwise became the series' asset); and
3. for anything acquired **from the company or from another series** — determine **the consideration paid, the payor, and the payee**.

The records may be organized however you like — specific lists, categories, formulas, percentages — so long as a stranger reading them reaches the answers above (s. 605.2301(4)).

Now the punishment clause. Section 605.2404, Florida Statutes, is the section your future adversary will read first. It says a creditor **may reach any asset that is a 'non-associated asset'** — an asset whose records fail the test — and it lets the creditor test association at *either* of two moments: the date the liability was incurred **or** the date of enforcement. Fixing your records after the lawsuit starts does not rescue assets for liabilities that already existed. Worse: **the burden of proving that an asset is**

associated falls on the person claiming the protection — you. That is s. 605.2404(4) in as many words: "the party asserting that an asset is or was an associated asset ... has the burden of proof on the issue." A creditor does not have to prove your records are bad; you have to prove they are good.

Read those two paragraphs again. They are the entire game:

Good records → each house is an island. No records → every asset in the structure is one pool, reachable by any creditor of any silo — and you have the burden of proof.

Your operating agreement fights this battle for you in two ways. Article 8 puts the records in a named person's hands and sets the standard they must meet. The standing association rules in Section 8.5 make the agreement *itself* part of your records and help determine where assets belong. They work alongside real ledgers and real bank accounts, not instead of them. Missing records can leave an asset non-associated; the default rule does not replace the identifying, acquisition, and transfer information the statute requires.

4. WHY USE A SERIES LLC — AND WHEN NOT TO

Use it for: multiple rental properties; a portfolio you are growing (add a \$25 series per property instead of a \$125+ LLC per property); separating a risky operating business from valuable equipment; or separating brands or projects.

Think harder before using it for:

- **Assets and operations in other states.** Florida will respect your horizontal shield; a state with no series statute may not. If a series will own property or do business outside Florida, get advice first (Section 25).
- **Outside investors.** Sophisticated investors and their counsel may prefer separate LLCs they understand. The structure supports investors (the multi-member agreement is built for it), but expect diligence questions.
- **Institutional lenders on every property.** Some lenders and title underwriters are still learning the structure. Expect to educate them (Sections 11 and 12), and occasionally to lose the argument.
- **A business you plan to sell soon.** A protected series cannot be sold as an entity — it cannot merge, convert, or domesticate on its own (s. 605.2602). You sell its *assets*, or the membership interests. Plan exits with advice.
- **Anything you will not maintain.** If you already know you will never keep separate accounts, buy the insurance, skip the structure, and sleep honestly. A neglected series LLC is an expensive way to own one big pool of assets.

The honest cost-benefit: the structure trades a modest, permanent administrative discipline (Part Three) for compartmentalized risk at a fraction of the cost of parallel LLCs. It rewards disciplined owners and punishes careless ones.

5. THE VOCABULARY — THIRTEEN TERMS THAT DO REAL WORK

Full glossary in Section 31; these thirteen carry the load.

Term	What it means
Series LLC / PSLLC / mothership	The one legal entity — the Florida LLC that designates protected series
Protected series (PS)	A compartment of the company: a legal "person" with its own assets and debts, but not a separate entity — it cannot exist without the mothership
Protected Series Designation	The \$25 online Sunbiz filing that creates a protected series
Member	An owner of the company. In our structure the members own the company, and the company owns every series
Associated member	A member of the company linked to a particular series (s. 605.2302). Our agreements deliberately have none: every series is wholly owned by the company, which is why the whole structure files one return (Section 18). Because no series has an associated member, s. 605.2304(2) would make the company its protected-series manager; every form of our agreement varies that default and names the Manager or the owners instead (Section 18)
Manager / Protected Series Manager	Who runs the company / who runs a particular series. In the manager-managed forms each series is run by the company's Manager. In the member-managed forms there is no manager: the owners run the company and are themselves named each series' protected-series managers
Associated asset	An asset whose records satisfy s. 605.2301 for a particular silo — the only kind of asset the horizontal shield protects
Non-associated asset	An asset whose records fail the test — reachable by creditors under s. 605.2404, with the burden of proof on you
Series Exhibit	The exhibit to your operating agreement (PS-1, PS-2, ...) that states each series' name, purpose, manager, capital, and starting asset schedule, and records that the series has no associated members

Term	What it means
Transferable interest	The economic slice of a membership interest — the right to receive distributions. A creditor or unapproved transferee can hold this and nothing more
Charging order	The court order that gives a member's personal creditor the member's distributions — and, in a multi-member LLC, nothing else (Section 23)
Distribution	Money or property paid out by a silo — a series pays the company; the company pays the members — always from that silo's own assets, always recorded
Contribution	Money or property put into a silo. You fund the company; the company funds each series (Section 6.1 of your agreement). Recorded against the silo that receives it

PART TWO — FORMATION AND STRUCTURE

6. HOW A FLORIDA PROTECTED SERIES LLC IS FORMED

Step 1 — The LLC. A Florida LLC is created by filing Articles of Organization with the Florida Division of Corporations. An existing Florida LLC works too: any Florida LLC in good standing can become a protected series LLC. (One timing rule: an LLC could not designate a protected series before the law's July 1, 2026 effective date.)

Step 2 — The Designation. The company becomes a *protected series* LLC the moment it files its first **Protected Series Designation**. Facts worth knowing, from the Division itself: the filing is **online only**, costs **\$25 per protected series**, and a certificate of status for a series costs \$5. Changes, cancellations, and dissolutions of a series are also online filings.

Step 3 — Consent. Florida's default rule requires the affirmative vote or consent of **all members** to establish a protected series (s. 605.2201(1)). The statute allows an operating agreement to choose a different approval rule (s. 605.2107(1)(i)). Section 3.1 of your agreement retains unanimous consent. In a single-member company this is trivial — your consent is everyone's consent. In a multi-member company, plan for it: one holdout member can block a new series.

Step 4 — The name. Under s. 605.2202, every protected series name must **begin with the company's exact name** and contain "protected series," "P.S.," or "PS." Sunbiz renders the filed name as the company name, a space-hyphen-space, and your series identifier:

Sunshine Holdings, LLC - PS 1

That full string — beginning to end — is the series' legal name. Use all of it, exactly, on every deed, account, contract, and signature block. "PS 1," "Series 1," or "Sunshine PS1" are not names of anything.

Step 5 — The paperwork that makes it real. A designation without governance is a shell. At or before each designation, your operating agreement requires adopting a **Series Exhibit** for the new series (Section 7). The exhibit is where the series gets its purpose, its capital, and its opening asset schedule — the first entries in the records that s. 605.2301 demands. It also records that the series has no associated members: the company owns it.

One registered agent for everything. The company's registered agent automatically serves as registered agent for every protected series — the law requires it. If MyFloridaSeriesLLC provides your registered agent service, lawsuits and official notices served on any of your series arrive at our address, are scanned to your client portal the day received, and trigger an email alert to you (Section 24).

7. YOUR OPERATING AGREEMENT — A GUIDED TOUR

Your operating agreement comes in one of eight versions. Three questions decide which one you have: **who manages the company, how many owners it has, and how it is taxed.**

	Standard partnership	(disregarded / S corporation
One owner, manager-managed	Manager-Managed, Single Member	Manager-Managed, Single Member, S Corporation
One owner, member-managed	Member-Managed, Single Member	Member-Managed, Single Member, S Corporation
Multiple owners, manager-managed	Manager-Managed, Multiple Members	Manager-Managed, S Corporation
Multiple owners, member-managed	Member-Managed, Multiple Members	Member-Managed, S Corporation

All eight share the same skeleton through Article 9. From there the multi-owner forms run to Article 16 — transfers (10), the bankruptcy provisions (11), admissions (12), dissociation and deadlock (13), dissolution (14), amendments (15), and miscellaneous (16). The single-owner forms need no transfer or deadlock articles (their bankruptcy continuity provision lives in Article 4), so they run to Article 13: admission of an additional member (10), dissolution (11), amendments (12), and miscellaneous (13). Here is the map, so you know where things live when a bank, title company, or lawyer asks:

Where	What it does
Article 1	The company: name, principal office, registered agent, and the rule that an asset belongs to a series only through the records Article 8 requires
Article 2	The defined terms — Associated Asset, Protected Series, Series Exhibit, Majority in Interest, and the rest
Article 3	The series engine: how series are established (unanimous consent under Section 3.1, retaining the statutory default), their legal status, the liability shields in both directions, and the rule that Series Exhibits control series-specific terms
Article 4	The owners: membership interests as simple percentages, the rule that no owner holds any series directly, voting (multi-owner), the transfer-on-death designation (Section 23), and — in the multi-owner forms — the member duties that power the bankruptcy protections

Where	What it does
Article 5	Management. In the manager-managed forms, the Manager runs the company and every series. In the member-managed forms there is no manager at all: the owners run the company by majority of ownership and — as s. 605.2107(1)(n) permits — are themselves named each series' protected-series managers (with one owner, that is you), and one owner may be designated Administrative Member to handle filings, records, and returns (a paperwork role with any additional authority expressly granted by the agreement or by owners holding a Majority in Interest). Every multi-owner form lists the big decisions that need an owner vote — including moving any asset between silos
Articles 6–7	Money: contributions (always made <i>to a specific silo</i> and recorded), capital accounts (multi-member partnership forms only; contribution records elsewhere), distributions — always from a series' own assets, and by a series only to the company that owns it
Article 8	The recordkeeping covenants (this manual's Section 14 is its field guide) and the standing association rules in Section 8.5 — and the holding rule (§8.4): hold assets in the owning company's or series' name, or through a properly documented nominee arrangement under Section 8.4 — not simply in your personal name
Article 9	Taxes (Part Four)
Article 10	In the multi-member forms: transfers — family transfers permitted, everything else needs consent, transferees get money rights only, plus the charging-order and involuntary-transfer armor (Section 23). In the single-owner forms: admission of an additional member. Those forms have no transfer article, because Chapter 605 already makes a transfer permissible, gives a transferee distributions and nothing else, and binds a transferee who never signs — there was nothing left for the agreement to add
Article 11 (multi-owner)	The executory-contract provisions — bankruptcy armor built on your members' ongoing duties (Section 23). In the single-owner forms, Article 11 is dissolution and winding up

Where	What it does
Series Exhibits	One per series: name, purpose, who manages it, capital, opening asset schedule — and the statement that the company owns it and it has no associated members

The choices you made

When you completed the questionnaire, you decided several things. Here is what each one does.

The borrowing limit (§5.4 / §5.5). The multi-member forms ask for a dollar figure: above it, no debt may be incurred without the consent of every owner. A guarantee of anyone's obligation, of any amount, may not be given without the consent of every owner. There is no default — you chose the number, and it is printed in your agreement. Set it where a borrowing would be big enough that you would want to be asked first.

Additional capital calls (§6.2). If you included it, owners holding more than 50% of the ownership interests held by members can require everyone to contribute more money, in proportion to ownership, up to the annual per-owner cap you set. The cap is what protects a minority owner from being bled by repeated calls. If you omitted it, no owner can ever be forced to put in another dollar — friendlier to passive investors, but the company must then fund shortfalls through loans or new members. Including it also strengthens Article 11 (see Section 23), which is built on the owners owing each other ongoing obligations.

Competition (§4.7). *Alternative A* bars you from competing with the company or your own series while you are an owner — right for active partners who are each other's only allies. *Alternative B* permits competition — right for passive co-investors, family arrangements, and anyone who invests in several ventures. Real-estate investors who own other rentals personally usually need *Alternative B*, or they would breach the agreement simply by owning what they already own. In a **member-managed** company this choice matters more: Florida imposes a noncompetition duty on members by default, and *Alternative B* operates as an express waiver of it.

Deadlock buy-sell, the 'shotgun' (§13.2). A company can deadlock with equal or unequal ownership: a majority cannot override a decision requiring unanimous approval. Section 13.2 covers a failure to obtain the required vote to approve or reject a matter that continues for 60 days after written notice of the deadlock. It excludes matters requiring every member's consent where the Act expressly permits a member to withhold that consent. If you include it, an owner holding at least 25% may offer a single cash valuation for the company and all its series; the *other* owners then choose to buy the offering owner's interest or sell their own at their proportionate shares of that valuation. The mechanism can favor an owner with greater access to cash. Without an agreed exit mechanism, owners may need to negotiate a solution or ask a court for relief. Unequal ownership alone does not eliminate the need for a deadlock plan.

Spouses holding as one (Exhibit A). In the multi-owner forms, a married couple may hold one combined interest as tenants by the entirety — Florida's strongest form for spouses — or as joint tenants

with right of survivorship. The couple votes only by the consensus of both spouses, and a transfer-on-death designation on that interest takes effect at the death of the last surviving spouse.

Percentages or fractions (Exhibit A). Ownership can be stated as percentages or as exact fractions — three equal owners are 1/3 each, which no percentage writes exactly.

Three practical rules about the agreement itself:

1. **Sign it, and sign every Series Exhibit.** An unsigned operating agreement is a rumor. Your agreement also makes itself part of the association records (the standing association rules in Section 8.5) — it only earns that status executed.
2. **Amendments are written or they are nothing.** Oral side-deals between members are unenforceable under the agreement and poisonous in litigation.
3. **When you add a second owner to a single-member company, change agreements.** Your agreement does not require it — nothing in it does — but the single-member form is built for one owner: it has no voting rules, no capital-call machinery, no transfer restrictions among owners, and none of the multi-owner bankruptcy armor, and its tax treatment changes the moment a second member is admitted. Move to the multi-member form at the same time, not later. (The portal does this for you: add the new owner in the operating agreement questionnaire, and the regenerated agreement is built on the multi-owner form automatically.)

8. THE MOTHERSHIP STRATEGY — KEEP THE PARENT POOR

The company itself — the mothership — should own as little as possible. Two reasons:

First, the mothership is a silo too. Its assets are exposed to *its* creditors — and the mothership is the silo most likely to attract general liabilities: it files things, signs service contracts, hires the bookkeeper, deals with the registered agent and the state. Anything valuable parked at the company level is exposed to all of that.

Second, your agreement's standing association rules make the mothership the default bucket.

The standing association rules help determine where assets belong, but they do not replace the required records. Missing records can leave an asset non-associated. Keep the mothership asset-light and document every asset.

In practice:

- Real estate, vehicles, equipment, and investment assets belong **in series**, never in the company.
- The company keeps a small operating account for shared expenses (state fees, registered agent, software, accounting) — funded by documented, pro-rata charges to the series under Article 5's shared-expense allocation, each allocation recorded.
- When the company signs anything for the benefit of a series, sign **in the series' name** (Section 13), not the company's.

- Do not let assets accumulate at the company level in the first place. Acquire each one in the series that will own it, on the day you acquire it — that is the only cheap moment. Moving it later is the transaction Section 10 tells you not to make.

PART THREE — OPERATING THE STRUCTURE

9. TITLING ASSETS CORRECTLY

First, the thing almost everyone gets backwards. What makes an asset belong to a series is *the records*, not the name on the title. Section 605.2301(2) says an asset is a series' associated asset **only if** the series keeps records naming it and describing the asset well enough for a stranger to identify it, see when and from whom it came, and — if it came from another silo — see what was paid, by whom, to whom. Title is not the legal test. Section 14 is where that battle is actually won.

Titling is how you prove it cheaply. Get the name right and the record makes itself; get it wrong and you are proving association the hard way, out of ledgers, with the burden on you (s. 605.2404(4)). So the practice below is a strong recommendation, not a statutory command:

Deed grantee: **Sunshine Holdings, LLC - PS 2**

Bank account title: **Sunshine Holdings, LLC - PS 2**

Vehicle title: **Sunshine Holdings, LLC - PS 2**

Two things the statute flatly forbids, and they are the ones to memorize. Under s. 605.2301(5), a protected series may **not** hold an associated asset in the name of the company or of another series, and the company may **not** hold one in the name of a series. Titling PS 2's building as "Sunshine Holdings, LLC," or as PS 1, is not a bookkeeping slip — it is the one titling error Florida law does not permit. Everything else in this chapter is best practice; those two are rules.

Nominee arrangements — lawful, with one duty attached. Section 605.2301(5) allows a company or a series to hold an associated asset **directly or indirectly, 'through a representative, nominee, or similar arrangement.'** So a nominee arrangement is lawful — a title company holding for a series pending closing, for instance. Your agreement (Article 8, *Holding Associated Assets*) allows it and requires one thing in exchange: document the arrangement in your Article 8 records, naming the holder, the silo it is held for, and the date it began. An undocumented nominee arrangement is an asset with no association record, which is the worst position to be in.

Never "in my head, that one's PS 2's."

Titling in the series' name does double duty. It puts the world on notice who owns the asset, and — under your agreement's standing association rules — the titling instrument *is itself an association record*: an asset acquired by an instrument naming a series is that series' associated asset from the date of acquisition. For real property Florida goes further: a properly recorded deed or instrument naming the series serves as an association record by statute (s. 605.2301(2)(b)). Every correctly titled asset is a brick in your evidentiary wall.

Assets people forget to title or assign: bank and brokerage accounts; vehicles and trailers; equipment and tools; websites, domains, and trademarks; contracts and customer lists; leases (assign them to the series that owns the building); accounts receivable; notes and mortgages held as lender; security deposits

(they belong to the series whose tenants paid them); insurance policies (the named insured must be the titled owner — Section 15); membership interests the structure owns in other companies.

10. PUTTING ASSETS IN — AND WHY THEY STAY THERE

Funding a series (contributions). When you put your own money or property into a series, that is a capital contribution. Your agreement requires each contribution to be made *to a specific silo*, deposited to that silo's account, and recorded (Article 6; the Series Exhibit's contribution line). The record answers s. 605.2301's second question — when and from whom the asset came.

Buying assets. When a series buys from an outsider, buy *in the series' name*, pay *from the series' account*, and keep the closing document. Purchase money out of PS 2's account + deed naming PS 2 = a self-documenting acquisition under those standing rules.

Do not move assets between series. Treat each series as though it were a separate limited liability company — its own account, its own assets, its own contracts, its own records. If you owned three ordinary LLCs you would not deed a building out of one and into another because it felt tidier, or move a truck across on a Sunday afternoon. The same discipline applies here, for the same reason: the moment an asset moves, its association has to be proved all over again, and s. 605.2404(4) puts that burden on you.

This is why the moment of acquisition matters so much. An asset bought in the right series' name, with the right series' money, is associated from day one and stays associated. An asset bought carelessly and relocated later is an asset whose history a stranger has to reconstruct.

Series can still do business with each other — one can lease equipment or space to another, or lend it money, exactly as two unrelated companies would (Example 2 in Section 28 is precisely that, and it works because it is priced, papered, and paid). That is business between silos, not the swapping of assets between them.

Never move assets after a claim arises. Transferring assets out of a series that has just incurred a liability is a fraudulent-transfer problem under Florida's Uniform Fraudulent Transfer Act (Ch. 726) — it can be unwound, it can create personal liability, and it advertises bad faith to the judge deciding whether to respect your structure at all. Structure *before* trouble, not after.

11. REAL ESTATE — THE EXPENSIVE-MISTAKES CHAPTER

Real estate is why most owners choose this structure, and it is where the costly mistakes live. Before deeding any property into a series, walk this list:

1. **The mortgage.** Nearly every mortgage has a due-on-sale clause; a deed to your series is a "transfer" that can technically trigger it. Lenders often consent — ask first, in writing. Refinancing later? The new lender will have opinions about the borrower entity.

2. **Documentary stamp tax.** Outside Miami-Dade County, the rate is 70 cents per \$100 or fraction of taxable consideration. Miami-Dade charges 60 cents per \$100 or fraction, plus a 45-cent surtax unless only a single-family dwelling is transferred. Mortgaged-property transfers can be taxable without cash changing hands. At the outside-Miami-Dade rate, \$300,000 of taxable consideration means \$2,100 in tax. Unencumbered, no-consideration transfers require separate analysis. Confirm consideration, rate and exemptions with your closing agent or CPA before recording.
3. **Title insurance.** Your existing owner's policy insures *you*, not your series. A conveyance can end your coverage. Talk to the title company about an endorsement or a new policy naming the series.
4. **Homestead — bright red line.** Do not transfer your personal residence into a series (or any LLC) without specific legal advice. You can forfeit the homestead creditor exemption — one of the strongest protections in Florida law — and your property-tax homestead exemption and Save Our Homes cap along with it. The structure is for investment and business assets.
5. **Insurance, leases, deposits, and the county.** Re-issue the landlord policy in the series' name; assign leases; move security deposits to the series' account; tell tenants where rent goes now; update the property appraiser's mailing records.
6. **The deed itself.** Grantee: the series' full filed name. Signature block: Section 13's format. Record it. A recorded instrument naming the series is conclusive evidence in favor of good-faith third parties and doubles as an association record (s. 605.2301(2)(b)) — recording is not optional.

Buying new property directly in a series is cleaner than transferring. No due-on-sale issue, no transfer stamps beyond the purchase itself, title insurance issued to the right owner from day one. When you can choose, buy in the series.

The statement of authority — optional, and the most consequential filing most owners have never heard of

Somebody in your structure can convey the company's real property by signing alone. Who, depends on the form. In a **member-managed** company it is *every member* — s. 605.04074 makes each one an agent. In a **manager-managed** company it is the Manager, and only the Manager; a member is not an agent merely by being a member.

Either way, the sentence to know is s. 605.04074(3): unless a certified statement of authority **recorded in the applicable real estate records** limits that person's authority, the instrument they sign "is conclusive in favor of a person who gives value without knowledge of the lack of the authority."

Your agreement forbids it among the owners — §5.4(b) in the member-managed multi-member forms — and an owner who does it anyway is liable to the company for the loss. That protects you **against each other**, not the property **against the outsider**. The only thing that does is a **statement of authority** under s. 605.0302.

Should you file one? It is your choice. Your agreement says you *may*, not that you must. How to decide:

- **Member-managed, two or more owners, holding real property — the strongest case.**
Any one of you can convey. If that is not what you want the world to be able to rely on, file.

- **Manager-managed — usually unnecessary.** Only the Manager can convey, and the members chose the Manager. It earns its keep if there is more than one manager, or if you want the Manager's own authority limited.
- **Single-member and you are the Manager — skip it.** There is no one to limit.

File a limitation, not a grant. Under s. 605.0302(7), where a certified copy containing a *limitation* on authority to transfer real property is recorded in the real property records, "all persons are deemed to know of the limitation." That is the entire point of the filing: a recorded limitation binds the world. A statement that mostly hands authority out does the opposite of what you filed it for — and worse. Under s. 605.0302(6), a recorded **grant** of authority to transfer real property is *conclusive in favor of a person who gives value in reliance on it without knowledge to the contrary*: the buyer keeps the building, and your only remedy is a claim against whoever signed. That is why your agreement requires every owner's consent before any statement of authority is filed, amended, cancelled, or recorded.

If you decide to file, four steps:

Step	What to do
1. Prepare it	Division of Corporations form CR2E138, 'Statement of Authority.' It asks for the company's name exactly as the state has it, the principal office addresses, and the authority — or the limits on it — of members or managers, stated by name or by position. Use the position, not the name. People change; "the Manager" survives a change of personnel, and a name forces a refiling.
2. File it	Print and mail it with the filing fee to the Registration Section, Division of Corporations, at the address on the form's cover page. There is no online filing for this one.
3. Order a certified copy	\$30.00 from the Division of Corporations.
4. Record the certified copy	In the official records of every county where the company or a series owns real property. The clerk charges a separate recording fee.

Step 4 is the step that matters. Filing with the state alone binds nobody. The statute protects a person relying on the statement only where a certified copy is recorded in the county where transfers of that property are recorded. A statement sitting in Tallahassee and nowhere else does nothing for your real estate.

Make it match your agreement. If §5.4(b) requires a majority of ownership to encumber real property, say the same thing in the statement. A statement that contradicts your operating agreement creates the exact ambiguity you filed it to avoid — which is why your agreement provides that any statement you file must be consistent with it.

It expires in five years. A statement of authority is cancelled by operation of law five years after it — or its most recent amendment — becomes effective (s. 605.0302(10)). Nothing warns you. Put the date on the calendar the day you file, and re-file before it lapses, with a fresh certified copy recorded in each county. Buy property in a new county? That county needs its own recording. To change or end one before it expires, use form CR2E145, '**Amend or Cancel Statement of Authority.**'

12. BANK ACCOUNTS

The rule: every silo that handles money has at least one account of its own. The company has its own; each active series has its own — more than one where the business calls for it (an operating account and a security-deposit account, say). What no two silos may ever do is share one. No exceptions for "it's all mine anyway" — commingling is the single most common way owners destroy the horizontal shield (and the vertical one).

- Income of a series goes into **its** account. Expenses of a series are paid from **its** account.
- The mothership's account pays only shared costs, reimbursed by documented allocations (Section 8).
- Document every transfer between you and the company or a series: contributions, distributions, loans, repayments, and legitimate expense reimbursements. Identify the parties and purpose, and use the correct account. The company debit card buys nothing personal, ever.

Opening the accounts. Some bankers have never seen a series LLC. Bring: the Articles of Organization; the Protected Series Designation for the series; a certificate of status (\$5, online); the operating agreement with that series' Series Exhibit (showing the series' name and who has authority); and the EIN for the account (Part Four — whose EIN depends on the tax classification). Ask for the account titled in the series' **full filed name**. If a branch cannot handle the name, a different bank will; do not settle for an account titled to the bare company "for" a series.

13. CONTRACTS, LEASES, AND SIGNATURE BLOCKS

Every contract must show **which silo** is bound. A contract signed loosely by "Sunshine Holdings, LLC" for what should be PS 2's lease has just associated a liability with the wrong silo — or with the mothership you carefully kept poor.

The signature block that does it right:

SUNSHINE HOLDINGS, LLC - PS 2

By: _____

Name: Maria Santos

Title: Manager

(if clarity helps the other side: "a protected series of Sunshine Holdings, LLC, a Florida limited liability company")

Rules of the road:

- The party line of the contract names the series' full filed name — not the company, not "Series 2."
- The human signs **only in a representative capacity** — "Manager" (or "Protected Series Manager"), never a bare personal signature. A bare signature is how you volunteer for personal liability.
- Leases: landlord = the series that owns the building. Invoices: issued by the series that earned them. Loans: borrower = the series that gets the money, and the obligation lands on that series' books.
- If a counterparty (bank, insurer, franchisor) insists on contracting with "the LLC," understand what that means — the obligation belongs to the mothership — and paper the internal reality accordingly, or push back.

14. THE RECORDKEEPING SYSTEM — YOUR ARTICLE 8 FIELD GUIDE

Article 8 of your operating agreement turns s. 605.2301 into a checklist. Here is the whole system — six habits:

Habit 1 — The asset schedule (per series). Every asset, described so a stranger could pick it out: address *and* legal description for real estate; institution/title/last-four for accounts; year-make-model-VIN for vehicles; serial numbers for equipment; parties-and-date for contracts. Plus: date acquired, from whom, and — if acquired from another silo — consideration, payor, payee. This is the record s. 605.2301 names first, and the first thing to update after any acquisition. (*App: the Assets tab, per series.*)

Habit 2 — Every silo has at least one account of its own, and no commingling (Section 12). Nothing in ch. 605 requires separate accounts and your agreement does not either — they are evidence, and the best evidence there is. Bank statements in the series' name are association records a stranger believes instantly.

Habit 3 — Assets stay where they were acquired (Section 10). Do not move them between series, any more than you would move a building between two separate LLCs you own. If one ever does move — because it was acquired in the wrong silo, or because one series genuinely bought it from another — s. 605.2301 requires the record to show the consideration, the payor, and the payee, and Section 30 has the form. (*App: the Transfer Log writes both silos' entries at once.*)

Habit 4 — Separate books. Income, expenses, contributions, and distributions per silo. Your accountant can run one accounting file with a class/location per series — what matters is that each series' picture can be produced *separately*. (*App: per-series ledger with income/expense categories.*)

Habit 5 — File the paper. Designations, Series Exhibits, deeds, titles, contracts, insurance, consents, and resolutions — one file per series (digital is fine; the statute requires records "retrievable in perceivable form"). Your portal already holds the formation package; keep the rest with your app records or alongside them.

The separate list Chapter 605 requires of every LLC. Apart from the association records above, s. 605.0410(1) requires the company to keep, at its principal office or another location, a current list of

members and managers with addresses, the operating agreement and every amendment, the articles and other filed documents, a record of the agreed value of each member's contributions, and — the two people forget — **income tax returns and reports for the three most recent years** and **financial statements for the three most recent years**. Note that these are the records the company may *not* wrap in confidentiality restrictions when an owner asks to see them (s. 605.0410(10)); keep them somewhere you could hand them over the same week.

Habit 6 — The annual review. Nothing in the Act or in your agreement requires one, which is exactly why it is a habit and not a covenant: a review you skipped is not a breach of your own document. Do it with the annual report each spring: Section 29's checklist is the agenda. Fix what you find *when you find it* — Article 8's correction provision makes correcting records a duty, and corrections made before a claim arises are worth incomparably more than corrections after (remember s. 605.2404 lets a creditor test association as of the date a liability was incurred, so a fix made after a claim exists comes too late for that claim).

How good is good enough? The statute's own standard is the answer: could a *disinterested, reasonable individual* — a bank examiner, a judge's clerk — take your records and, without asking you anything, sort every asset into its silo and trace where it came from? If yes, you have a horizontal shield. If they would need you to explain, you have homework.

15. INSURANCE — THE FIRST LINE, NOT THE BACKUP

The series structure is your *second* line of defense. Insurance is the first: it pays lawyers and judgments so the shield never gets tested. Structure without insurance is planning to lose slowly.

- **Liability insurance per property/business**, with the **named insured matching the titled owner** — the series, by its full filed name (many carriers add the mothership as an additional insured; fine). A policy naming only "Sunshine Holdings, LLC" while PS 2 owns the building invites a coverage fight on the worst day of your year.
- **Landlord (dwelling-fire) policies** for rentals — not homeowner's policies, which exclude rental use.
- **Umbrella/excess liability** above the underlying policies, sized to the portfolio. Confirm the umbrella schedules every series-owned property.
- **Flood** (standard policies exclude it — this is Florida), **wind deductibles** understood, **workers' compensation** if anyone works for any silo, **builder's risk** during renovations.
- After every acquisition or transfer: the insurance to-do is part of the transfer checklist (Section 29), because an asset that moved silos without its insurance moving is uninsured in the way that matters.

PART FOUR — TAXES

16. THE BASICS — THERE IS NO SUCH THING AS 'LLC TAXATION'

Start here, because almost every mistake in this Part comes from skipping it.

The Internal Revenue Code contains no tax regime for limited liability companies. An LLC is a creature of state law, and when the IRS meets one it does not ask "how are LLCs taxed?" It asks which of the regimes it *already* has this thing should be taxed under. The answer comes from the '**check-the-box**' **regulations** (Treas. Reg. §§301.7701-1 to -3) — and to a large extent, **you choose it**.

The defaults, if you do nothing

- **One owner** → the LLC is **disregarded as an entity separate from its owner** (Treas. Reg. §301.7701-3(b)(1)(ii)). For income tax purposes it does not exist. Its income and deductions land directly on the owner's return.
- **Two or more owners** → the LLC is a **partnership** (Treas. Reg. §301.7701-3(b)(1)(i)).

Neither default requires you to file anything to obtain it. Both happen by operation of the regulations, the moment the company exists.

The elections, if you want something else

- **C corporation** — file **Form 8832**, Entity Classification Election.
- **S corporation** — file **Form 2553**. One form does both jobs: an eligible entity that elects S status is treated as having first elected to be an association taxable as a corporation (Treas. Reg. §301.7701-3(c)(1)(v)(C)). You do not also file Form 8832.

Either election is open to an LLC with one owner or twenty. A single-member LLC can be an S corporation; being an LLC has nothing to do with it.

What actually gets filed

How the LLC is classified	The LLC's own return	How the owners report
Disregarded, individual owner	none	Schedule C, E, or F on the owner's Form 1040
Partnership	Form 1065	a Schedule K-1 to each member, onto their own returns
C corporation	Form 1120	nothing until a dividend is paid — then taxed again
S corporation	Form 1120-S	a Schedule K-1 to each shareholder

A disregarded entity files no income tax return at all. That one fact decides most of this Part.

Three things 'disregarded' does not mean

- **Not disregarded for employment taxes.** A disregarded entity is treated as a corporation for employment tax purposes (Treas. Reg. §301.7701-2(c)(2)(iv)) and for most federal excise taxes. If it has employees it needs **its own EIN**, files its own Forms 941 and 940, and issues its own W-2s.
- **Not disregarded for state law.** Florida says so expressly: s. 605.1103(3) — disregarded entities "must be treated as separate legal entities for all non-income tax purposes." Your liability shields do not care how you file.
- **Not disregarded by your bank.** They will want an EIN on the account whatever the Code says.

And one Florida question

Florida has no personal income tax. Under s. 605.1103(1), an LLC classified as a partnership, or a disregarded single-member LLC, is not an "artificial entity" within s. 220.02 and is not subject to the chapter 220 income tax. But s. 605.1103(2) provides that a company "classified otherwise for federal income tax purposes" is "classified identically to its classification for federal income tax purposes" for chapter 220. **A corporate election therefore changes the Florida analysis, not only the federal one.** Ask your CPA what chapter 220 means for your company before you elect, not after.

17. HOW A SERIES IS TAXED — AND WHY WHO OWNS IT DECIDES EVERYTHING

Section 16 is settled law. This section is not, and you should know that going in.

The proposed regulations

In 2010 the Treasury proposed a rule for series: **Prop. Treas. Reg. §301.7701-1(a)(5)**. Under it, a series is treated as an entity formed under local law — **separate from the company and from every other series** — and its classification is then determined under the ordinary check-the-box rules, on its own facts, one series at a time.

Those regulations have never been finalized. They have been outstanding for more than fifteen years, proposed regulations bind neither taxpayers nor courts, and there is no Florida-specific guidance at all. What they do tell you is the position the IRS has publicly staked out, and the only sensible way to plan is to assume it may apply.

Which turns "how is my structure taxed?" into a question asked **once per series** — and every one of those questions is answered by the same fact: **who owns that series.**

When different series have different owners

Suppose three series. You and your brother own PS 1. You and a different partner own PS 2. You alone own PS 3. Under the proposed regulations that is not one company with three compartments. It is:

- **PS 1** — two owners → its own **partnership**, its own EIN, its own **Form 1065**, its own K-1s;

- **PS 2** — two different owners → a second partnership, a second EIN, a second Form 1065, more K-1s;
- **PS 3** — one owner → disregarded to you.

Two extra federal returns, two extra EINs, two extra sets of deadlines — every year, permanently. And nobody sends you a notice telling you a return was due.

The partnership problem

The danger is not double tax. A partnership pays no income tax; it reports. The danger is that **the returns were never filed**, because you believed there was one company and one return.

- **The failure-to-file penalty.** Section 6698 imposes a penalty for each month a partnership return is late, **multiplied by the number of partners**, for up to twelve months. The dollar amount is indexed annually — ask your CPA for the current figure — but note its shape: two unnoticed partnerships, two partners each, running a few years, produces a penalty in the tens of thousands of dollars **on returns that would have shown no tax due**.
- **Failure to furnish the K-1s** carries its own penalty, under section 6722.
- **Every owner's personal return is now wrong.** Income that should have arrived on a K-1 was reported some other way, or not at all — so amended returns, **interest** under section 6601 running from each original due date, and potentially the twenty percent accuracy-related penalty under section 6662.
- **The clock never started.** Section 6501(c)(3): where no return is filed, tax may be assessed **at any time**. An unfiled return does not age out. Ten-year-old exposure is still live exposure.

That is the whole problem — not extra tax, but obligations you did not know you had, and interest and penalties that compound with every year of not knowing.

The S corporation problem

Now run the same structure with an S election. Here the consequence is worse, because it is not a penalty — it is the loss of the election.

An S corporation may have only **one class of stock** (section 1361(b)(1)(D)). Under Treas. Reg. §1.1361-1(l) that test is not about voting power. It asks whether **the governing provisions** — the operating agreement, the Series Exhibits, and any binding agreement among the owners — confer **identical rights to distribution and liquidation proceeds** on every ownership interest.

Put different owners on different series and the answer is no. You take all of PS 1's profits; your brother takes all of PS 2's. On their face those are different rights to distributions and to liquidation proceeds. The governing provisions fail the one-class test — and they fail it the day they are signed, whether or not anyone ever takes a distribution.

What follows is not a penalty:

- The election is **invalid from the start, or terminated** as of the date the second class arose.

- The company is a **C corporation** from that moment: taxed at the entity level, and taxed again when it distributes.
- Under section 1362(g) it generally cannot elect S status again for **five years** without IRS consent.
- Every affected year's returns, for the company and for each owner, were wrong.

Relief for an *inadvertent* termination exists under section 1362(f) and is granted routinely — to people who find the problem and fix it, not to people who meet it in an audit three years later.

18. WHY YOUR SERIES ARE OWNED BY THE COMPANY

Both problems in Section 17 have the same single cause: **somebody other than the company owns a series**. Remove that and both problems disappear — which is exactly what our agreements do.

Every protected series in our agreements is wholly owned by the company itself. No series has associated members. Its Series Exhibit says so. You own the company; the company owns the series. (Management is a different question with a deliberate answer: Florida's default, s. 605.2304(2), would make the company each series' protected-series manager — and every form of our agreement varies that default, so the role, and the liability that follows management authority, sits with the people named in Article 5, never with the entity that owns every series' interests.)

Now follow that through the proposed regulations, one step at a time:

1. Each series is analyzed as its own entity — that is the regulations' own rule, and we take it at its word.
2. Each series has exactly **one owner**: the company.
3. One owner and no corporate election → **disregarded as an entity separate from its owner** (Treas. Reg. §301.7701-3(b)(1)(ii)).
4. A disregarded entity **files no income tax return**.

So however many series you designate, the number of federal income tax returns for the whole structure is the number the company alone would file — the same number it would file with no series at all.

Your company	What the entire structure files
One owner, no election	Nothing of its own. Everything on your Form 1040, each property or business as its own Schedule E or C activity
Two or more owners, partnership	One Form 1065, with a K-1 to each member
S election	One Form 1120-S, with a K-1 to each shareholder

The partnership problem is gone, because no series is a partnership. There is no unfiled Form 1065, no section 6698 penalty running per partner per month, and no statute of limitations left open — because no return was ever due.

The S corporation problem is gone, for a reason worth stating precisely. The one-class-of-stock test looks at the ownership interests in the S corporation. Here the **only** ownership interests in existence are the membership interests in the company, and the agreement makes those identical in every respect section 1361(b)(1)(D) cares about — strictly pro rata allocations, distributions, and liquidation proceeds. The series below are disregarded subsidiaries. A disregarded entity is not a second class of stock; it is not stock at all.

That is why we structure every agreement this way. It is not the only ownership Florida law permits. It is the one that keeps the tax answer simple enough to be safe for an owner who does not employ a full-time tax adviser.

If you need different owners in different series

Some structures genuinely require it — a partner in one property but not another, an investor in a single venture. That is a legitimate business need, and this is the honest answer:

Do not do it with a form agreement. Retain an attorney to custom draft one.

Different associated members in different series brings significantly more tax complexity, a strong likelihood that **each series will need its own EIN and file its own annual return**, and every consequence set out in Section 17 if those returns are missed. It also raises state-law questions our forms do not address, because our forms are built on the opposite premise. The cost of the right document is small next to the cost of the returns nobody filed.

The S corporation savings clause — what it does, and what it doesn't

If you elect S status you receive our dedicated S corporation form of agreement: built without partnership tax machinery, with strictly pro rata allocations and distributions, and with a savings clause at §9.4. That clause says the owners intend the company to qualify and stay qualified; that any provision which would blow the election is void from the beginning, as though never written; that any *act* which would blow it is void; and that if the election dies anyway, everyone must cooperate in seeking relief.

That is a good clause to have. **It is not what protects you.**

The IRS does not ask whether your agreement contains a clause saying you meant well. It reads the governing provisions and asks whether, on their face, every ownership interest carries identical rights. A provision that fails that test is a problem the moment it exists, whether or not anyone acts on it, and whether or not you also wrote a clause disclaiming it. Courts and the IRS have never been generous toward language that tries to undo a tax result after the fact.

The real protection is that your document actually conforms: allocations and distributions strictly pro rata including in liquidation; the series owned by the company, so ownership cannot drift apart series by series; and transfers to anyone who is not an eligible shareholder void, a restriction that reaches transfer-on-death designations. The savings clause is the second line of defense. The first is that there is nothing for it to save.

Three things will end an election faster than any drafting error:

1. **Side agreements.** A letter between two owners promising one a preferred return, a bigger share on sale, or a payment the others don't get is a binding agreement about distributions — part of the governing provisions, and enough to end the election. Don't sign the side letter.
2. **Uneven distributions.** Paying one owner more than their percentage — even briefly, even as a "loan" nobody papers — is the most common way small S corporations get into trouble. Distribute pro rata, every time, and write it down.
3. **Letting an interest reach an ineligible owner.** An entity, a nonresident alien, or the wrong kind of trust — usually through a death, a divorce, or a beneficiary designation nobody revisited. Check before the transfer, not after.

If one of those has already happened, tell your CPA immediately.

What is still true, even with everything disregarded

- **Separate books are not optional.** "One tax return" is not "one set of records." The horizontal shield rests entirely on per-series records (Section 14), and disregarded status does nothing for it.
- **The other taxes do not care about check-the-box.** Documentary stamp tax on deeds and on notes and mortgages (Section 11). Tangible personal property tax — each county assesses business personalty, appliances in rentals included, with a return (Form DR-405) due per property or business by April 1, and an exemption that often covers small holdings. Sales tax, if any series rents short-term lodging or sells taxable goods — its own Department of Revenue registration and collections, plus county tourist development taxes on short-term rentals. Florida's sales tax on commercial rent (former s. 212.031) was repealed for occupancy periods beginning on or after October 1, 2025, so a series that only leases office, retail, or warehouse space no longer collects it. Employment taxes, in the silo that employs the people. Property taxes, where a transfer can reset assessments or lose exemptions (Section 11's homestead warning again).

Each of those obligations belongs to a **specific silo**, and paying it from that silo's own account is part of the separateness you are proving.

THE EIN QUESTION — WHO NEEDS ONE, AND WHAT AN EIN DOES NOT MEAN

The company needs an EIN. Its bank requires one for the account, the IRS requires one to process any election, and it is the number the company gives on W-9s so you are not handing out your Social Security number.

A protected series usually does not need one. Every series is wholly owned by the company, so for federal income tax it is disregarded (this Section): the IRS will never ask a series for an income tax return. A series needs — or benefits from — its own EIN only in limited circumstances:

- **Its bank insists.** Most banks require an EIN for an account titled in the series' name. This is the most common reason by far, and it is a banking rule, not a tax rule. Your CPA or our EIN service can obtain one.

- **It has employees.** Disregarded status does not apply to employment taxes (Treas. Reg. §301.7701-2(c)(2)(iv)); a series that pays wages must have its own EIN and file its own employment returns (Section 16).
- **A counterparty demands a taxpayer number for the named entity** — a lender, title company, insurer, or property manager. Giving them the company's EIN for a series' business stitches the two identities together on paper, the opposite of the separateness you are documenting.
- **State registrations,** where a series is the operator — sales tax, tourist development tax, reemployment tax (Section 16).

A separate EIN does not mean a separate tax return. An EIN is an identification number, not a tax status. Because every series is wholly owned by the mothership, the series never file income tax returns of their own — the only income tax return ever filed for the whole structure is the company's (and where the company itself is disregarded to a single owner, Section 16's table shows that lands on your own Form 1040). If you have questions about the technicalities, ask your attorney or accountant.

PART FIVE — COMPLIANCE AND CREDITOR PROTECTION

19. STATE FILINGS, YEAR AFTER YEAR

Annual report — \$138.75, due between January 1 and May 1. Filed with the Division of Corporations online. **One report covers the company and every protected series**, however many you have — the same \$138.75 whether you run one series or twelve. Filed even one day late, the fee becomes **\$538.75**: Florida adds a \$400 penalty that is automatic and cannot be waived. Ignore it long enough and the company is administratively dissolved — which, in a series LLC, drags **every protected series** down with it (a series cannot outlive its mothership).

The real last day is in September, and it is exact. Under s. 605.0714, the Department may administratively dissolve a company that does not deliver its annual report by **5:00 p.m. Eastern Time on the third Friday in September**, and dissolution for failure to file **occurs on the fourth Friday in September**. Those are the dates the state actually acts on. The \$400 penalty starts May 2 either way, so there is nothing to gain by using the extra months. Put the report on the calendar with your annual review (Section 14, Habit 6) and file it in the spring.

- **Your series list maintains itself.** The annual report **automatically lists every designated protected series** that has not been cancelled or relocated — you do not add them manually. Review the list when filing: it is the state's picture of your structure, and it should match your operating agreement's Series Exhibits exactly. A series on the state list with no Series Exhibit (or vice versa) is a housekeeping failure to fix that day.

Registered agent — must be continuously maintained, and serves every series automatically. Failure to appoint and maintain one is its own ground for administrative dissolution under s. 605.0714(1)(c), independent of the annual report. If your agent resigns for nonpayment and you do nothing, the state's next step is administrative dissolution.

- **Series-level filings, all online:** new designation (\$25), statement of designation change, statement of designation cancellation, articles of protected series dissolution. Certificates of status: \$5 per series.
- **Reinstatement, if you let it lapse:** \$100 plus every missed year's annual report fee. Administrative dissolution restricts the company to winding up; it does not automatically remove its liability protections. Keep the required records and resolve the lapse promptly.

Statement of authority — only if you chose to file one: re-file before its **five-year** expiration, and record a fresh certified copy (\$30) in each county where you own property. See Section 11.

- **When the company's name changes,** every series' name changes with it (each begins with the company name); conforming state filings and re-papering follow. Change the company name rarely and deliberately.

20. FEDERAL BENEFICIAL OWNERSHIP REPORTING — CURRENTLY: EXEMPT

The Corporate Transparency Act briefly required most small LLCs to file beneficial ownership reports with FinCEN. **As of this edition, U.S.-formed companies are exempt:** FinCEN's March 2025 interim final rule narrowed "reporting company" to entities formed under *foreign* law that register to do business here. A Florida series LLC formed in Florida currently files nothing with FinCEN, and its owners report nothing.

Two cautions. First, this area has reversed course more than once — verify the current rule (fincen.gov/boi) before relying on this paragraph in a later year; material changes will be covered in manual updates. Second, the exemption is federal BOI only — it changes none of your Florida filings and none of your recordkeeping duties.

21. HOW OWNERS DESTROY THE SHIELDS (VEIL PIERCING AND WORSE)

Courts respect entities that respect themselves. Both shields — vertical and horizontal — can be disregarded when the structure is abused. Florida veil-piercing doctrine asks, in substance: was the entity dominated and used as the owner's instrument, was there improper conduct (fraud, commingling, stripping), and did it cause injury? The protected series construct adds a second, easier path for creditors that skips veil piercing entirely: **s. 605.2404** — prove the records inadequate and the asset is simply *non-associated*, no fraud required, burden on you (Section 3).

Conduct that can undermine the shields:

1. **Commingling** — one bank account for everything; personal bills from company accounts; rent from three properties deposited wherever.
2. **Records that require the owner's narration** — "I can explain which assets are whose" fails the disinterested-reasonable-individual test by definition.
3. **Sloppy signing** — contracts naming no silo, or the wrong one; bare personal signatures (Section 13).
4. **Undocumented shuffling** — assets and cash moving between silos with no memo, no consideration, no ledger entry (Section 10).
5. **Undercapitalized series** — a series running a business with meaningful risk, no insurance, and no assets except the one it is shielding invites an argument that the compartment is a sham. Fund each series to operate.
6. **Post-claim transfers** — fraudulent-transfer exposure, Ch. 726 (Section 10).
7. **Ignoring your own operating agreement** — the agreement is Exhibit A in every one of these fights; follow it or amend it, never ignore it.

Where sloppy formalities can and cannot hurt you. Section 605.2402(2) draws the line precisely: failing to observe formalities in exercising powers or managing the business **is not** a ground to disregard

the shield that keeps company and series debts off *you personally* (s. 605.2401(1)) — but it **may** be a ground to disregard the shields *between* the company and a series, and between one series and another (s. 605.2401(2)). So informality does not put your house at risk. It puts the compartments at risk — the very thing you built the structure for. That is also why this manual asks you to keep the formalities you will actually perform, and no others: a routine you adopt and then abandon is evidence against you that never existed before you adopted it.

Everything on that list is preventable with the six habits in Section 14. None of it is expensive to prevent. All of it is expensive to litigate.

22. WHO OWES WHAT DUTIES — MANAGERS, MEMBERS, AND LIABILITY INSIDE THE STRUCTURE

- **Vertical shield for people:** members and managers are not personally liable for company or series debts by status (s. 605.2401; agreement §3.3(d)). Personal liability comes from personal conduct: your own torts, your personal guarantees, your bare signatures.
- **Managers' duties:** the company's Manager, and each Protected Series Manager, owe the duties Chapter 605 imposes (care, loyalty, good faith) — to the right constituency. A series manager's loyalty runs to *that series and, as its owner, the company*. Moving value from PS 2 to PS 1 without process isn't clever consolidation; it is a breach claim belonging to PS 2 and to the company that owns it.
- **Exculpation and indemnification are siloed** (Article 5's exculpation and indemnification sections): a manager's indemnification for series business is payable from *that series'* assets only. One series' litigation cannot drain the others through the indemnity back door.
- **In the multi-member agreement,** members also owe the contractual duties in Article 4 — participation in governance, confidentiality, non-disparagement, plus the optional capital-call and noncompetition duties if selected. They matter twice: as real obligations, and as the anchors of the bankruptcy protections in Section 23.

23. WHEN A MEMBER GETS SUED PERSONALLY — CHARGING ORDERS, BANKRUPTCY, AND DEATH

The shields in Section 2 protect the structure from the *business's* creditors. This section is the reverse problem: a member's *personal* creditor — car accident, divorce, personal guarantee, bankruptcy — coming after the membership interest.

Charging orders (multi-member companies). Under s. 605.0503, the **exclusive** remedy of a member's personal judgment creditor is a charging order: the right to receive the distributions the debtor-member would have received. The creditor gets no vote, no management, no inspection rights, and — in a multi-member LLC — **cannot foreclose** on the interest. Your multi-member agreement recites this exclusivity (§10.6), makes every interest subject to the agreement in any hands, and its distribution decisions remain where the agreement places them — with the Manager, or with owners holding a

Majority in Interest — never with the creditor. A creditor holding a charging order against a member of a well-run multi-member series LLC is holding a right to money that no one is obligated to distribute.

The single-member exception — read this if you own alone. Florida law is different for single-member LLCs: s. 605.0503(4) lets a judgment creditor **foreclose** on a single member's entire interest if distributions won't satisfy the judgment in a reasonable time — the *Olmstead* fix, written into the statute. The single-member structure still fully protects against the *business's* creditors, but it is not a fortress against your *personal* creditors. That is a reason to carry strong personal umbrella coverage, and — where genuine — to consider legitimate multi-member ownership (a real co-investor, a spouse with real economic rights, a family partnership). Adding a token 1% member solely to defeat creditors is a strategy courts see through; get real advice for real asset-protection planning.

Charging-order exclusivity is not absolute — know its edges. Section 605.0503(7) says the section does not limit a creditor's rights under a **consensual security interest** you granted, does not limit **fraudulent transfer** law, and does not limit "the equitable principles of alter ego, equitable lien, or constructive trust." Pledge your interest to a lender and the charging-order rules do not stand between that lender and its collateral. Move an interest to dodge a creditor and Ch. 726 applies. Run the structure as your personal checkbook and equitable doctrines are available. Exclusivity protects a *well-run* company from an *ordinary* judgment creditor; it is not a shield against your own conduct.

Involuntary transfers (multi-member). If a member's interest is seized, passes through bankruptcy, or lands with an ex-spouse, your agreement (§10.4) gives the company — then the other members — an option to buy that interest at appraised fair value on up-to-five-year terms. A stranger who forces their way in holds only an economic interest (§10.3) and faces a structured buyout, not a seat at the table.

Bankruptcy armor (multi-member). Article 11 of the multi-member agreement declares the agreement an executory contract under 11 U.S.C. §365, catalogs each member's material ongoing duties, and — citing *In re Soderstrom* (M.D. Fla. 2013) — takes the position that a bankruptcy trustee cannot assume or assign a debtor-member's interest without the other members' consent. Understand it honestly: bankruptcy courts wield broad equitable power, and no drafting guarantees an outcome there. Article 11 gives your side the strongest available argument; combined with charging-order exclusivity, it makes the interest an unappetizing target — which is the practical goal.

Bankruptcy if you own alone. Florida's statute has a trap for the sole owner of a member-managed company: filing bankruptcy automatically expels you as a member (s. 605.0602(8)), and a company with no members starts a 90-day clock toward dissolution — your worst financial day would also dissolve the container holding your assets. Your agreement turns that trap off (§4.7 of the member-managed single-member forms; §4.8 of the manager-managed single-member forms, where the statute does not expel you but the same section keeps management and the series running): filing does not end your membership, the company and every series continue, and whoever ends up holding the interest holds it subject to the agreement. Understand what this section does *not* do: in a single-member company there are no co-members whose rights a bankruptcy court must respect, so the estate steps into your shoes — federal law makes the interest estate property no matter what any agreement says, and any clause that tried to punish filing would be void. The section's job is continuity, not concealment: the business keeps operating, the walls between series stand, and the estate deals with an intact company instead of a dissolving one. If bankruptcy is a live concern, that is a conversation for a bankruptcy attorney before filing, not after.

Death — the TOD designation. Every form of the agreement lets an individual member register a transfer-on-death beneficiary (an owner that is a company or trust cannot make this designation, nor can co-owners holding an interest as tenants in common) — anyone the member chooses, subject on the S corporation forms to the eligible-shareholder rule — on Exhibit A, using Florida's registration-in-beneficiary-form statute (ss. 711.50–711.512). At death the interest passes directly — no probate — and the beneficiary takes subject to the operating agreement. In the multi-member agreements, a beneficiary receives the economic interest automatically but becomes a voting member only after delivering a signed agreement to be bound and obtaining written consent from owners holding more than 50% of the ownership interests held by the remaining members. A permitted family transferee needs the same admission approval, excluding the transferring owner; other new members need every member's written consent and a signed agreement to be bound. Permission to transfer an interest and admission as a voting member are separate requirements. In the single-member agreement the beneficiary is admitted as the Member on delivering a signed agreement to be bound, since there is no one else to consent. Keep designations current (the formalities are strict: a signed writing with two witnesses, delivered as your form directs), and coordinate with your estate plan — for large or complicated estates, a trust may be the better vehicle; ask your estate planner. If no designation is made, the interest passes through your estate, and the agreement's continuation provisions keep the company alive while it does.

24. WHEN A SERIES GETS SUED — SERVICE OF PROCESS AND LEGAL MAIL

A protected series can sue and be sued in its own name. Process against a series is served like process against the LLC (s. 48.062) — which in practice means **served on the registered agent**, who is the same for the company and every series.

If MyFloridaSeriesLLC is your registered agent: anything served or officially delivered for any of your silos is scanned to your client portal the day we receive it, and you get an email alert immediately. Then the clock is yours to respect: **a lawsuit has a response deadline (typically 20 days in Florida) that runs whether or not you read it.** Sign in, download, and get the papers to your attorney the same day. A default judgment converts a defensible claim into a fixed debt of that series — and tests your records under s. 605.2404 at their worst moment. The alert email is not the last step; it is the first.

Housekeeping that keeps service working: keep your email address current in the portal so notices reach you, and keep the registered agent service paid — an agent's resignation for nonpayment leaves every silo exposed to service you will never see.

25. CROSSING STATE LINES

Florida courts will enforce Florida's horizontal shield. Another state's courts might not — especially states with no series legislation of their own. About half the states have some form of series LLC law (Delaware since 1996, plus Texas, Illinois, Nevada, and the Uniform Act states, among others); the rest have none, and a court there may treat your carefully separated series as one undifferentiated LLC in a dispute governed by its law.

Practical rules:

- **Florida assets, Florida operations → full strength.** This is the home-field structure.
- **Property or operations in a series-friendly state** → get advice on qualifying/registering there (many states register the company; some register series); expect the shield to be respected but verify.
- **Property in a no-series state** → seriously consider a separate ordinary LLC in that state for that property (which your structure can own as an asset of a series). Losing the horizontal shield for one property is manageable; litigating a test case about it is not.
- Wherever a series does business, use its full name, keep its records clean, and insure locally. The cleaner the separateness, the better your odds in any courtroom.

26. ENDING THINGS — DISSOLVING A SERIES OR THE COMPANY

Dissolving one series (sold the property, closed the venture) does not touch the rest of the structure:

1. Approve it: the members of the company, by the vote your agreement requires (single-member: you) — the company owns every series, so there are no associated members to consult.
2. Wind it up: collect its receivables, pay or provide for **its** creditors from **its** assets, and distribute the remainder to the company, its sole owner. Its creditors have no recourse to the other silos, and what reaches you comes from the company as a distribution.
3. File the **articles of protected series dissolution** (online), and the series drops from the annual report's list.
4. Retire its Series Exhibit (mark superseded — keep it; it is history a future diligence will want), close its bank account *after* winding up, archive its records. Do not reuse its name or ledger for a new venture — new series, new \$50 (\$25 to prepare and the \$25 state fee), new exhibit, clean history.

Dissolving the company dissolves **every** series with it, automatically. Winding up runs series-by-series first (each silo pays its own creditors from its own assets), then the mothership; the company's winding-up is not complete until every series' is. File articles of dissolution; the shields survive for the wind-down but the structure is over. If the company was administratively dissolved by the state (missed annual reports), reinstatement is possible — but the episode is exactly the kind of self-neglect a veil-piercing plaintiff collects; do not let it happen.

A series LLC cannot merge, convert, or domesticate freely. A protected series can never be a party to those transactions on its own, and the company's options are tightly limited (ss. 605.2602 and 605.2605–605.2607). If a reorganization is ever on the table — selling the whole structure, converting to separate LLCs, moving states — plan it with counsel around these limits.

PART SIX — PRACTICE TOOLS

27. SIXTEEN TRAPS FOR THE UNWARY

1. **Forming the LLC and never designating a series.** You built a normal LLC with extra paperwork. The horizontal shield starts at the first filed designation.
2. **Designating a series and never funding it.** An empty PS 1 protects the house you never deeded into it exactly as much as a parked ambulance heals people.
3. **Titling everything in the mothership.** One pool with decorative labels — and the pool sits in the silo most exposed to general liabilities (Section 8).
4. **One bank account for everything.** The classic. Commingling is the first exhibit in every piercing case.
5. **Records that only you can explain.** The statute's standard is a *stranger* reading your records cold (Section 14).
6. **Moving assets between silos at all.** Each move restarts the asset's association from scratch, with the burden of proof on you under s. 605.2404 — and an undocumented move, with no consideration, payor, or payee, leaves nothing to carry that burden with. Acquire in the right silo and leave it there (Section 10).
7. **Signing personally, or for the wrong silo.** The signature block is the liability's mailing address (Section 13).
8. **Deeding your homestead into a series.** Do not — not without specific advice (Section 11).
9. **Transferring mortgaged property without reading the mortgage.** Due-on-sale clauses and documentary stamps are real (Section 11).
10. **Insurance naming the wrong insured.** The policy must follow the title (Section 15).
11. **Putting different owners on different series.** With the series owned by the company, the whole structure files one return (Section 18). Give a series its own owners and it becomes its own taxpayer — its own EIN, its own return, and penalties on the returns nobody knew were due (Section 17). Do not do it with a form agreement.
12. **Treating 'disregarded' as 'exempt from everything.'** Employment, sales, and tangible taxes do not care about check-the-box, and neither does state law (Section 16).
13. **Operating bare in a no-series state.** Home-field rules don't travel (Section 25).
14. **Missing the May 1 annual report.** Late fees, then administrative dissolution — of everything at once (Section 19).
15. **Moving assets after the accident.** Fraudulent-transfer law was written for exactly that move (Section 10).
16. **Set-and-forget.** The structure is a practice, not a purchase. The annual review (Section 29) is the whole price of keeping it.

28. THREE WORKED EXAMPLES

Example 1 — The landlord (single member). Maria forms Sunshine Holdings, LLC; designates PS 1, PS 2, PS 3 (\$75 total); deeds one rental into each (after clearing each mortgage-consent and stamp-tax question); opens four bank accounts (mothership + three); moves each property's insurance to the owning series; assigns each lease; tenants pay each series directly. Tax time: everything is disregarded to Maria — three Schedule E properties, like always. The slip-and-fall at 101 Palm Street in year three settles at policy limits; the plaintiff's lawyer, reading PS 1's clean records and facing only PS 1's equity beyond the policy, does not bother testing the shield. PS 2 and PS 3 never appear in the case.

Example 2 — The operating business plus assets (single member). Dev runs a pressure-washing business and owns the trucks and equipment. PS 1 runs the business (contracts, customers, employees, its own payroll and sales-tax registrations). PS 2 owns the trucks and equipment and **leases them to PS 1** under a written lease at market rate — payments actually moving monthly from PS 1's account to PS 2's, the lease and every payment logged. A customer lawsuit against the business reaches PS 1: its receivables and its bank account — not the trucks. The inter-series lease is the load-bearing wall; it exists because it is papered and paid, not because Dev thinks of the trucks as "separate."

Example 3 — The family structure (multi-member). Elena (70%) and her brother Marco (30%) own Cypress Group, LLC, manager-managed with Elena as Manager. The company designates two series: PS 1 holds a duplex, PS 2 a fourplex. **Both series are owned by the company, not by Elena or Marco individually** — that is what the form does, and it is what keeps the tax simple. The mothership holds no real estate. Tax: both series are disregarded to the company, so the structure files **one** Form 1065 and issues two K-1s, 70/30, exactly as it would with no series at all. Elena and Marco share both properties' economics in those proportions; if they wanted the duplex to be Elena's alone, the answer is a separate LLC or a custom-drafted agreement (Section 18), not different owners on different series. Marco's later personal bankruptcy tests the structure: his trustee takes his transferable interest in the company subject to the agreement, faces charging-order exclusivity, the Article 11 executory-contract position, and the company's §10.4 appraisal buyout option — and settles for a payout of Marco's interest at appraised value over time. Both properties stay where they are, and PS 1's tenant lawsuit two years later still reaches only PS 1.

29. THE CHECKLISTS

A. Annual review (run with the annual report, before May 1)

✓	State
☐	File the annual report; pay the fee; save confirmation
☐	Confirm the auto-listed protected series match your Series Exhibits exactly
☐	Confirm registered agent and principal office are current

✓	State
☐	Order certificates of status if lenders/closings are coming (\$5/series)

✓	Records
☐	Asset schedule per series current — every acquisition and disposal reflected
☐	No asset moved between silos this year; if one did, its memo, consideration, and matching bank entries are on file
☐	No commingling: sample each account's year for personal or cross-silo payments
☐	Every contract signed this year names the right silo, right signature block
☐	Ledgers reconciled per silo; distributions and contributions recorded per silo
☐	Corrections made under Article 8's correction provision for anything found — dated this year, not backdated

✓	Tax, insurance, people
☐	CPA review: classification per silo, EINs, K-1s/1065s where owed, DR-405s, sales tax registrations
☐	Insurance per silo: named insureds match titles; umbrella schedules all properties; renewals calendared
☐	Operating agreement still matches reality (members, managers, percentages, series) — amend in writing if not
☐	TOD designations still say what you want

A-2. Also on the annual calendar

☐ Statement of authority, if you filed one, still within its five-year life — re-file and re-record before it lapses

☐ Any new county where you bought property this year: certified copy recorded there

B. New-series checklist (every time)

☐ All-member consent (documented) → ☐ Adopt and sign the Series Exhibit (name exactly as it will be filed; purpose; capital – no associated members; the company owns it) → ☐ File designation online (\$25) → ☐ EIN if needed → ☐ Open the series' bank account → ☐ Fund it (recorded contribution) → ☐ First asset onto the asset schedule → ☐ Insurance in the series' name → ☐ Add the series to the app.

C. Asset-into-series checklist (every asset)

☐ Confirm which series (and that its exhibit's purpose covers it) → ☐ Approvals per agreement (multi-member: §5.4 manager-managed, §5.5 member-managed, as applicable) → ☐ Transfer document (deed / bill of sale / assignment) naming the series' full filed name → ☐ Consideration documented – price, payor, payee (if from you: recorded contribution; if from another silo: transfer memo + bank movement) → ☐ Re-title / record → ☐ Asset schedule + ledger updated → ☐ Insurance moved → ☐ Related contracts and deposits assigned.

D. Real-estate-specific additions

☐ Mortgage consent / due-on-sale cleared in writing → ☐ Documentary stamp treatment confirmed with closing agent → ☐ Title insurance addressed (endorsement or new policy) → ☐ NOT homestead → ☐ Deed grantee = full filed series name; recorded → ☐ Landlord policy re-issued; flood/wind reviewed → ☐ Leases assigned; deposits moved to series account; tenants notified → ☐ Property appraiser mailing address updated → ☐ Out-of-state property: Section 25 advice first.

30. SAMPLE LANGUAGE (COPY CAREFULLY — NAMES EXACTLY AS FILED)

Resolution associating an asset (adopt when a series acquires anything significant):

RESOLUTION OF SUNSHINE HOLDINGS, LLC

The undersigned, being the Manager of Sunshine Holdings, LLC and the Protected Series Manager of **Sunshine Holdings, LLC - PS 1**, confirms that the asset described below is an associated asset of **Sunshine Holdings, LLC - PS 1**, and that the asset schedule, ledger, and insurance records of that protected series shall be updated accordingly:

Asset: [the real property located at 101 Palm Street, Orlando, Florida, more particularly described as (legal description)]

Acquired: [date], from [name of transferor]

Consideration: [\$_____, paid by Sunshine Holdings, LLC - PS 1 to (payee)] / [contribution by (member name) recorded in the Series Exhibit]

Dated: _____ Signed: _____, Manager

Signature block (contracts, leases, closings):

SUNSHINE HOLDINGS, LLC - PS 1

By: _____

Name: _____

Title: Manager

Bill of sale (inter-series or inbound):

For value received, [transferor: Sunshine Holdings, LLC - PS 2 / (your name)] hereby sells, assigns, and conveys to **Sunshine Holdings, LLC - PS 1** all right, title, and interest in the property described on Exhibit A. Consideration: \$_____, paid by Sunshine Holdings, LLC - PS 1 to [payee]. Dated _____.

Inter-series transfer memo (one per transfer, kept in both silos' files):

INTER-SERIES TRANSFER RECORD

Date: _____ | Asset: _____

From: Sunshine Holdings, LLC[- PS __] To: Sunshine Holdings, LLC - PS __

Consideration: \$_____ | Payor: _____ | Payee: _____

Approvals (multi-member; §5.4(b) manager-managed, §5.5(b) member-managed): _____

Bank transfer reference: _____ | Ledger entries posted (both silos): ☐

Asset schedule entry (the app formats this for you):

Series: Sunshine Holdings, LLC - PS 1 | Asset: 101 Palm Street, Orlando, FL (legal: Lot 3, Block B, ...) | Acquired 8/15/2026 from J. Seller | Consideration \$310,000 paid by PS 1 (Cornerstone Bank acct ••4821) to J. Seller | Documents: deed (recorded OR Book/Page), closing statement | Insurance: policy #_____, named insured Sunshine Holdings, LLC - PS 1

31. GLOSSARY

Administrative dissolution — the state's termination of an LLC for ignoring filing duties; kills every series with the company.

Annual report — the January-to-May 1 online filing keeping the company active; auto-lists all protected series.

Articles of organization — the filing that creates the LLC.

Associated asset / non-associated asset — an asset whose records pass / fail the s. 605.2301 test; only the former is shielded, the latter is creditor-reachable under s. 605.2404.

Associated member — a member linked to a particular series by the operating agreement.

Capital contribution — money or property an owner puts into a specific silo.

Charging order — a creditor's exclusive remedy against a member's interest in a multi-member LLC (s. 605.0503); the single-member carve-out permits foreclosure.

Commingling — mixing silos' (or personal) funds; the classic shield-killer.

Disregarded entity — federal income-tax status of a one-owner LLC or series; income reported directly by the owner.

Distribution — a silo's payment of profit to its owners, from its own assets.

Documentary stamp tax — Florida's deed/note transfer tax.

EIN — federal tax ID number.

Fraudulent transfer — a transfer made to hinder, delay, or defraud creditors (Ch. 726); reversible and worse.

Manager / Protected Series Manager — who manages the company, and who manages a particular series. Manager-managed forms: the company's Manager. Member-managed forms: the owners, and in a single-owner company, you.

Member — an owner of the company.

Mothership — the series LLC itself.

Operating agreement — the members' governing contract, including every Series Exhibit.

Partnership representative — the person with authority over a partnership's IRS dealings.

Protected series — a compartment of the company; a legal "person," not a separate entity.

Protected Series Designation — the \$25 online filing creating a series.

Registered agent — the recipient of legal papers for the company and all series.

Series Exhibit — the per-series exhibit of the operating agreement.

Transferable interest — the economic-rights slice of a membership interest.

TOD designation — transfer-on-death registration of a membership interest (ss. 711.50–711.512).

Veil piercing — a court's disregard of an entity's separateness due to abuse.

Winding up — paying a dissolved silo's creditors from its assets and distributing the rest.

32. FREQUENTLY ASKED QUESTIONS

Is each protected series a separate LLC? No — one legal entity total. Each series is a legal "person" that acts in its own name, but it cannot exist apart from the company.

How many series can I have? No statutory limit. Each costs \$50 through us — \$25 to prepare and the \$25 state filing fee — plus a Series Exhibit — and, more importantly, a silo you must actually maintain. Add series for real compartments, not for sport.

Can series be added or removed later? Yes — designate new ones any time (all members must consent), and dissolve one without touching the rest (Section 26).

I sold the rental property in one of my series. I'm buying a new rental — can I reuse the empty series and title the new property in it? Don't. Reusing a series is a bad idea, because a series keeps its liability history long after its asset is gone — nothing in Florida law forbids the reuse; the problem is what comes with it. A tenant injured during your years of ownership, a deposit dispute, a contractor's unpaid claim, a buyer alleging the roof was misrepresented or that termite damage was undisclosed — claims like these belong to *that series*, they can be filed years after the closing, and a judgment on any of them reaches whatever the series owns **at the time the creditor enforces** (s. 605.2404 tests association at enforcement, not just when the liability arose). Title the new property into the old series and you have staked your new investment against the old property's unknown past — the clean compartment you paid for is gone exactly where you need it most. A fresh series costs \$50 and gives the new property the one thing the structure exists to provide: a silo with no history. The same logic applies to the sale proceeds: don't leave them parked in the old series, where the old property's tail can reach them — distribute them up to the company, documented, and fund the new purchase into the new series as a recorded contribution (Section 10). Keep the old series alive and empty until you and your advisor are satisfied its exposure has passed, then dissolve it (Section 26) — and never reuse its name or ledger (the same rule Section 26 already gives you).

Does each series need its own registered agent? No — the company's agent automatically serves every series. One agent, one fee.

Do my series file their own annual reports? No. The company files one report; the state auto-lists your series on it.

Do I really need a separate bank account for every series? Yes. It is the cheapest, strongest association evidence there is — and the alternative (commingling) is the most common way the shield dies.

Can one series do business with another? Yes — at arm's length, in writing, at real prices, with the money actually moving (Example 2 is exactly this). Undocumented "borrowing" between silos is commingling wearing a costume.

Can a series own a series? No. Only the company designates series, and a series cannot be a member of its own company.

What does a series LLC cost to maintain? The company's annual report fee, the registered agent, insurance you would buy anyway, and bookkeeping discipline. Compare: one more LLC's worth of *everything* for each property in the separate-LLC alternative.

Will banks and title companies know what this is? Increasingly, yes — the law is new in Florida but decades old nationally. Sections 11–12 tell you what to bring when you meet one still learning.

Does the structure protect me from my own malpractice/negligence? No structure protects you from liability for your own conduct. It contains *business* liabilities to silos; it does not launder personal fault. Insurance, competence, and contracts are the tools for the rest.

Is my personal creditor stuck with a charging order? In a multi-member company, essentially yes (Section 23). Single member: Florida allows foreclosure of the interest — plan accordingly.

What single habit matters most? Contemporaneous records. Every section of this manual is a variation on that theme, and the app exists so the habit costs minutes, not weekends.

ABOUT MYFLORIDASERIESLLC

MyFloridaSeriesLLC is a document-preparation and registered agent service dedicated to the Florida Protected Series LLC. Your formation package includes the operating agreement and Series Exhibits, this manual, the recordkeeping app, and — if selected — registered agent service with same-day portal delivery of legal mail. Support: **support@myfloridaseriesllc.com**. Client portal: **myfloridaseriesllc.com/portal**.

© 2026 MyFloridaSeriesLLC. This manual may be updated as Florida law and federal rules evolve; the portal always holds the current edition. Statutory citations verified against Official Florida Statutes: ss. 48.062, 220.02, 605.0302, 605.0410, 605.0503, 605.0602, 605.0714, 605.1103, 605.04074, 605.2101–605.2802, 711.50–711.512; former s. 212.031 (historical commercial-rent tax); Ch. 726; Prop. Treas. Reg. §301.7701-1(a)(5); FinCEN interim final rule (Mar. 2025); Florida Division of Corporations series LLC filing guidance.